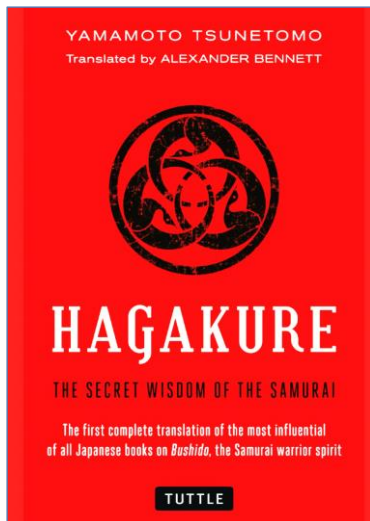


am
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Current Views

Short GBPUSD at 1.3080

Stop loss 1.3026 (was 1.3226)

Take profit 1.2757

Long USDCAD @ 1.3230

Stop loss 1.3088

Rabbit Hole #9 Hagakure

The Secret Wisdom of the Samurai

Welcome to Rabbit Hole #9. The Rabbit Hole series offers deep dives into random trading and macro topics that fascinate me. Today's note is something completely different. Definitely finance related. But also not really finance related.

A friend of mine sometimes randomly sends me a book in the mail if he feels it will stimulate my cerebrum. [Hagakure](#) is one of those books, and it most certainly did. I cannot comfortably recommend the book to all because it's a pretty weird book. I enjoyed it but I can't guarantee that you will! So how about some excerpts??

20-minute read, 4000 words

フレンジ

What is Hagakure?

from Wikipedia

Hagakure (Kyūjitai: 葉隠; Shinjitai: 葉隠 is a practical and spiritual guide for a warrior, drawn from a collection of commentaries by the clerk Yamamoto Tsunetomo, former retainer to Nabeshima Mitsushige (July 10, 1632 – July 2, 1700), the third ruler of what is now Saga Prefecture in Japan.

Tashiro Tsuramoto compiled these commentaries from his conversations with Tsunetomo from 1709 to 1716; however, it was not published until many years afterwards. Written during a time when there was no officially sanctioned samurai fighting, the book grapples with the dilemma of maintaining a warrior class in the absence of war and reflects the author's nostalgia for a world that had disappeared before he was born. Hagakure was largely forgotten for two centuries after its composition, but it came to be viewed as the definitive guide of the armed forces of the Empire of Japan during the Pacific War.

フレンジ

When I have written book reviews in the past, I generally offered my broader thoughts along with specific excerpts and then specific thoughts related to those excerpts. In this case, it's hard to explain the book overall because it's a collection of snippets and advice and thoughts, all intermingled. And the excerpts don't require a ton of explication; they stand on their own.

When I read Hagakure, two prevalent themes jumped out:

1. Whoa, this applies to trading!
2. Wow, there is nothing new under the sun! These people in 1700's Japan had many of the same concerns we have now in 2023 USA. Neat.

Therefore, I present two sets of excerpts, one under the heading: Hagakure on Trading and the other under the heading: There is nothing new under the sun. I hope you find this to be an enjoyable and unusual weekend read.

Hagakure on Trading

All quotes excerpted from Hagakure. Note the parallels to trading.

葉隠聞書

For quite some time now, he has advocated the practical teaching of *zanshin* as a key concept in the culture of bushido. What is *zanshin*? Literally “lingering heart,” simply put it is an important principle in the martial arts which means to maintain psychological and physiological alertness at all times, even after achieving victory in combat or a match. It entails remaining vigilant, calm, and collected after the engagement, and mustering complete control over the surge of adrenaline in your blood. Expressing emotions of joy in victory or anguish in defeat are unacceptable. Throwing one’s arms up in exhilaration shows a lack of vigilance and respect.

葉隠聞書

However, men who have traversed to an even higher stage of expertise in swordsmanship will pretend that they are unknowing, but those around them will sense that they have unmatched skill. This is probably the zenith of attainment for most men. Beyond this extends the ultimate realm that is impossible to describe in words. It becomes clear to the master that this realm is boundless and his skill can never be perfect. With this realization, the master, being fully conscious of his imperfections, is neither conceited nor contemptuous, but continues traveling the path.

葉隠聞書

Lord Yagyū once said, “I do not know how to defeat others. All I know is the path to defeat myself. Today one must be better than yesterday, and tomorrow better than today. The pursuit of perfection is a lifelong quest that has no end.”

葉隠聞書

It is unwise to be fixated on a single point of completion. A man who has devoted himself to his studies and believes he has reached a consummate level will assume his training has finished, but this is erroneous. Devotion to the study of one’s path—first acquiring the fundamentals, and then continuing to refine your knowledge and skills—is a lifelong pursuit with no end. Without becoming content with your level of accomplishment, think critically of everything, and spend your entire life traveling the path, asking, “How can I find the truth of the Way?” Never give up the quest. Continue to practice like this and you will uncover the Way.

葉隠聞書

Ishida Ittei said: “Even someone who is not particularly skilled with a brush, his ability to write characters will improve if he applies himself in copying a good model.” In the same way, a man in service can also progress by copying the ways of an exemplary retainer. There are few examples worthy of emulation these days, so you should select from several to construct your own archetype. Choose one to imitate for their level of grace in protocols of propriety, another for his courage, one for his use of words, another man for his correct moral conduct, one for his sense of *giri* and honesty, and one who does not dilly-dally and is decisive. By taking the one good thing from different people and merging them together, you will be able to create an ideal standard for a retainer.

葉隠聞書

In the world of artistry or medicine, a disciple will often mimic his master’s defects instead of his superior qualities. This is futile. There are some men who are very polite, but are dishonest. When modeling themselves on others, they risk acquiring his dishonest features instead of his meritorious traits if care is not taken. If you focus only on the good points of a man, then everybody can be a good model to learn from.

葉隠聞書

There are times when it is best not to react too abruptly. For example, Jōchō mentioned the instance of moving residence. Good opportunities will present themselves to those who show patience. All that is required is forbearance, and when the right moment comes, act swiftly without slackening. You may fail outright if you are tardy and think too much. Sometimes, however, it is best to act from the outset. Now and then it may be more advantageous just to vex and be a killjoy by taking your time. In such instances, what you say at that moment is very important. In any case, it is essential to get on with your work attentively and patiently.

葉隠聞書

There is a lesson to be learned from a downpour of rain. If you get caught in a sudden cloudburst, you will still get a drenching even though you try to keep dry by hurrying along and taking cover under overhangs of roofs. If you are prepared to get wet from the start, the result is still the same but is no hardship. This attitude can be applied to all things.

葉隠聞書

When a distinguished spearman was on his deathbed, he summoned his best disciple and told him: "I have already conveyed to you the secret teachings of the school, so there is nothing left for me to pass on. If it is your desire to accept your own disciples, you must practice diligently with your bamboo sword (*shinai*) every day. Remember that the subtleties of winning duels cannot be grasped simply through the secret teachings." A master of linked verse (*renga*) also advised students: "Calm your minds and review books of poetry the day before a meeting." They were advocating the importance of becoming immersed in practice. A samurai should plunge headfirst into training for his professional duties.

葉隠聞書

It is said: "When you make a mistake, never hesitate to correct it." A wrongdoing can be rectified immediately if you are quick to address the problem. It will look worse if you try to cover it up, and you will suffer more. If you utter "forbidden words" that upset others, explain your indiscretion; your profanity will be forgiven, and there will be no need to feel penitent. Do not yield if somebody insists on taking you to task. Be prepared to stake your life and rebuff them by resolutely saying, "It was a mistake to say those words, which is why I felt obliged to explain myself. If you are not satisfied with my apology, then there is little more I can do to convince you. It could be said that you have not been listening to what I had to say. All of us are sometimes guilty of slips of the tongue." Such a situation can become quite serious, so never speak of others, or divulge secrets carelessly. Likewise, be mindful of where you are and who is around you when you are chatting.

葉隠聞書

It is preposterous to feel crestfallen when dismissed from duty. It was customarily said at the time of Lord Katsushige: "You won't make a true man of service unless you have experienced being a *rōnin* seven times. Fall down seven times, and get up eight (*nana-korobi-yaoki*)." A man of the caliber of Naridomi Hyōgo was a *rōnin* seven times. It should be thought of as being like a self-righting doll. The lord may dismiss you from his service as a test.

葉隠聞書

As Lord Naoshige supposed, samurai with ambitions [to serve with excellence] stay on good terms with their colleagues. I was always well-mannered to all people, from samurai to low-ranked *ashigaru*. This forms the basis for soliciting help should the need arise. All I would need to say is "It's for His Lordship's benefit, so please rally with me." My allies would be sure to offer assistance without a moment's delay. This amounts to the lord having numerous worthy retainers, and contributes to the prosperity of the clan.

葉隱聞書

The best way to outdo your colleagues is to ask for their advice about your own ideas. Most men conclude matters based on their own opinions, which prevents them from rising to a higher level. Consulting with experts is the best way to advance. A certain person sought my advice about writing an official document. Although better at writing such documents than I, he demonstrated his superiority through a willingness to solicit remedial help.

葉隱聞書

There is no point in one's training in which one reaches the end. The instant you think you have finished, you have already strayed from the path. Realize that nothing you do is perfect until you have taken your last breath; then, when you are dead, you will be seen as having completed the Way. Purity without excess, and focusing single-mindedly on one thing is difficult to achieve during one's lifetime. If the purity of your training is diluted, then it cannot be called the proper Way. Strive to follow the Way of service and samuraihood as your singular pursuit.

葉隱聞書

Everything you do until the age of 40 should be executed with all of your energy. It is preferable for a samurai approaching the age of 50 to moderate his behavior.

葉隱聞書

Conceit and haughtiness are perilous during times of good fortune. One must redouble efforts to maintain a sense of humility. Those who revel when times are good will wither in adversity. Come what may, never become conceited when enjoying a period of good fortune. You will be in great jeopardy without displaying twice as much caution as usual.

葉隱聞書

According to a certain monk: "If you attempt to cross a river without checking the depth, you will be swept away and drown before reaching the opposite bank, and thereby fail to accomplish your mission. Similarly, you will be ineffective if you serve indiscriminately without being cognizant of the changing times or the lord's preferences, and it may cause your ruin. It is loathsome to act only to curry your master's favor. The best course of action is to first take a step back, understand the depths and shallows of various matters, and avoid provoking indignation in your master."

葉隱聞書

Remonstrating with, or giving advice to one's lord after something untoward has already happened will be meaningless, and likely lead to harmful rumor-mongering. It is like taking medicine after becoming sick. You will not fall victim to serious ailments if you take care of yourself beforehand, rather than resorting to treatment after you contract an illness. Advising your lord before he conjures up bad ideas has the same effect as taking precautions against disease.

葉隱聞書

All that matters is having single-minded purpose (*ichinen*), in the here and now. Life is an ongoing succession of "one will" at a time, each and every moment. A man who realizes this truth need not hurry to do, or seek, anything else anymore. Just live in the present with single-minded purpose. People forget this important truth, and keep seeking other things to accomplish. Having the resolve to stay the course comes only with years of dedicated training. If you are enlightened to this mind-set just once, it will always be with you, even if you are not conscious of it every day. Your life will become simple and clear if you are unwavering in purpose, knowing that "now" is the time to act. Loyalty is a virtue born of this state of mind.

葉隱聞書

You need nothing more than to maintain a pure mind, and stay vigilant as you execute your duties. Just live for each moment with single-minded purpose.

葉隱聞書

It is interesting indeed that Lord Kenshin said, "I never think about winning. All I think of is not missing the opportunity." This is very perceptive. A retainer should also realize that if he misses his chance he will be unable to articulate his point effectively. As such, a samurai must never be guilty of paltriness in every action and greeting he makes.

葉隱聞書

I said, "My attitude towards warriorhood and service is evolving. Even when I believe that I have at last learned the ideal way to act as a retainer, after a while I discover that my estimation was in fact perilous and deficient, and I am forced to reconsider. If I had kept a record of my changing opinions since my youth, it would exceed one or two-hundred times. It is never ending. I wish I could come to understand the supreme level." The master replied, "The process of rethinking one's stance is important. When you think you have discovered the secret, this is already a mistake. Know that your study will last for as long as you are breathing."

葉隱聞書

If one is insensitive when sympathizing with a man who is plagued by misery by blurting lame comments like "How sorry I feel for you," he will become even more despondent and unable to see reason. Instead, it is better to cheer him up by nonchalantly implying it is not serious at all. Say, "Actually, this is quite propitious old chap. It could have been much worse!" With such reassurance, the unfortunate man will see things differently. As we live in an ephemeral world, feelings of sorrow or joy need not be embraced for long.

葉隱聞書

The extent of one's courage or cowardice cannot be measured in ordinary times. All is revealed when something happens.

葉隱聞書

A man with shallow knowledge will act as if he knows it all. This is puerile. A learned man is modest, and would never boast in this way.

葉隱聞書

It is said that, "Great enterprise does not dwell on trifles." As long as a retainer serves his lord with singular loyalty, he will be forgiven, even if he is careless in other matters, or makes a nuisance of himself in having his own way. By contrast, perfection in every respect makes a man somewhat disagreeable. He will be stretched to breaking point in important matters. One cannot achieve remarkable deeds without flexibility. It is said, "When a man achieves something great, minor blunders are not to be dwelt upon as 'undutiful.'"

There is nothing new under the sun

The enduring prosperity of our clan is owed to the hard work of Lord Nippō. We must be eternally grateful. Thus, with all due respect to new lords, I sincerely hope that they take the time to contemplate the hardships of their ancestors, Lord Nippō and Lord Taisei-in, and at least peruse the writings passed down, taking the content to heart. As new lords are molycoddled from birth by attendants, they rarely experience hardship, and do not know the customs or history of the domain. They simply do as they wish with little consideration of the immense weight of responsibility a lord must shoulder. In recent years, many new initiatives have been enacted and the domain's administration is faltering.

葉隱聞書

After hearing this, I realized how true it was; so many men now seem to have the pulse of a woman. There are few who can be thought of as a real man. This means that one man can surpass others by making just a small effort.

葉隱聞書

There are retainers who still serve into their sixties and seventies. I, however, took up the tonsure when I was only 42 years of age; so, in retrospect, my career as a retainer was brief. I look back with a feeling of gratitude. When my lord passed, I resolved to die in a manner of speaking also, which is why I became a monk. I am sure I would be besieged by all manner of problems had I continued being a retainer. The last 14 years have instead been a time of peace and tranquility, and immense contentment. Moreover, being acknowledged by others as “a cut above the rest,” I have received courteous treatment. I feel pangs of guilt when I reflect introspectively on what I have actually accomplished, and wonder if I ought not be punished in some way for the undue kindness I have had bestowed on me.

葉隱聞書

There is nothing so profound as the last part of a certain poem that asks, “How will you reply when your own heart asks questions?” This sentiment could even rival Buddhist sutra, and many know of it. Recently, erudite people put on pretenses and feign wisdom—an act that makes them lower than ordinary men. At least ordinary men are forthright. If one asks this very question, there will be nowhere to hide from the truth. It is a penetrating “judge” of one’s mind. Thus, it is prudent to avoid shameful behavior in anticipation of an introspective judgment of guilt.

葉隱聞書

There is one thing that is damaging to a man in service, and that is to seek riches and honors. You will remain untarnished as long as you lead a meager lifestyle. There is a man I know who is very clever, but it was in his pedantic nature to always point out sloppy work. This is something a first-rate vassal should not do. If you are unaware that the world is teeming with ineptitude from the beginning, you will develop a bitter countenance, and in turn others will eschew you. If you aren’t acknowledged and trusted by others, you will not be able to demonstrate your true worth, no matter how outstanding a person you may actually be. Know that this is also a blemish on one’s honor that invites ruin.

葉隱聞書

People have changed in the past 30 years. When young samurai congregate, they engage in vapid talk of money, about profit and loss, their household fiscal problems, taste in fashion, and idle talk of sex. I hear that they see no reason to assemble other than to indulge in such topics of conversation. Warrior customs are deteriorating beyond repair. In the old days, samurai, even in their twenties and thirties, did not harbor such contemptible thoughts and never talked about such things. Even if an older man let slip and objectionable comment, he was quick to lament his mistake.

葉隱聞書

The existing state of affairs has emerged because society has become tawdry, and all that people think about are financial matters. If people refrain from indulging in extravagances beyond their station, then they can make do. Moreover, it is dumbfounding how young men who show thriftiness are praised. Men who are too miserly tend to lack a sense of duty or obligation (giri). Men lacking in giri are dirty cowards.

葉隱聞書

Many men are defeated by alcohol. This is a lamentable fact. Be attentive to how much you can imbibe without becoming drunk, and do not exceed your limit. Still, one will become intoxicated on occasion. When carousing, be constantly on the alert to deal with any unexpected occurrence. Drinking is a communal activity, so be very careful of your public appearance.

葉隱聞書

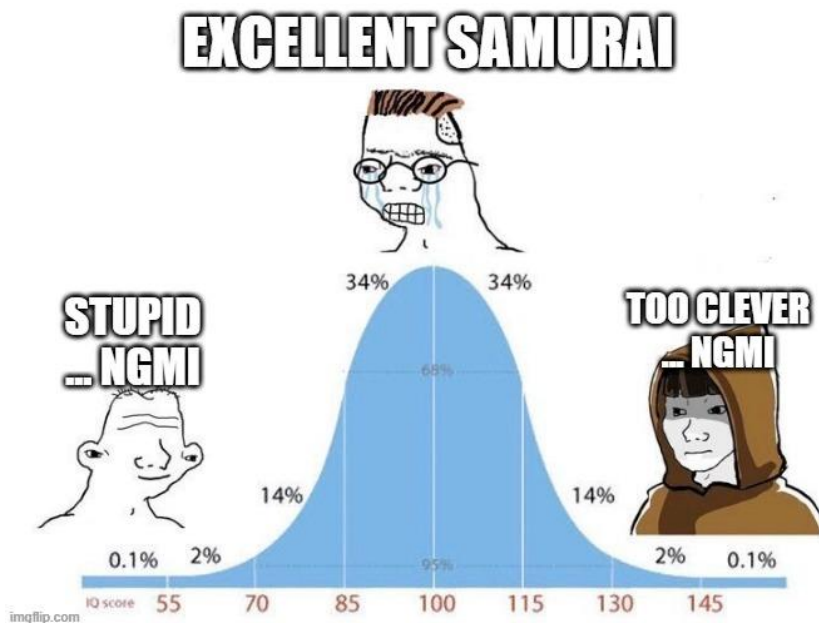
Furthermore, if parents are not on good terms with each other, it is natural for the child to grow up deficient in a sense of filial devotion. Even birds and wild animals are affected by what they see and hear in their formative years. Moreover, the relationship between father and son can break down if the mother is foolish. If the mother pampers the boy, and sticks up for him when he is admonished by his father, the paternal relationship will deteriorate. Women have a shallow tendency to side with their children as they foresee that they will have only them to depend on in the future.

葉隱聞書

Alas, there are no worthy men. Few pay attention to useful stories passed down from the great men of old, let alone engage in rigorous training to better themselves. Recently, I have had conversations with several people here and there. They withhold opinions through fear of ridicule if they reveal what is really on their minds.

葉隱聞書

The priest Tannen said, "A retainer who is too clever will never make it; but by the same token, there is no chance of stupid people succeeding, either."



葉隱聞書

A certain samurai commented, "What a shame so-and-so died at such a young age." To which I replied, "It is indeed a pity [as he was a valued man]." He bemoaned: "The end of the world is nigh, and due consideration to social rectitude (giri) has fallen by the wayside." I consoled him by saying, "When things can get no worse, they will then change for the better. Conditions will unequivocally improve in time." In this way, it is important to be a step ahead of others in your ripostes.

葉隱聞書

Current trends cannot be stopped in the flow of time. The world continues to degenerate because we are nearing the end of times. The year is not comprised only of the two pleasant seasons of spring and summer. The same can be said of each day. Thus, any longing for "good old days" of a hundred years ago is futile. It is more judicious to adapt and improve the ways of the present. Men who hold a nostalgic view of the past are misguided in their outlook because they are blind to the reality of the present. Conversely, those who revel in the present, but loathe the customs and traditions of yesteryear, can't differentiate between core principles and insignificant details.

葉隱聞書

If a man to whom you are obliged—a friend or an ally—has transgressed in some way, you should secretly admonish him, but cover for him by publicly praising him as a one-in-a-thousand ally with no peer. By reproaching a man privately, his faults can be remedied and he will eventually be rehabilitated into a worthy fellow. Offering praise will encourage him to redeem his ways, and he will cease any further wrongdoing. In this way, it is important to sit within the precincts of compassion and help him rectify his conduct.

葉隱聞書

If you are called a “fool,” merely counter by calling the other a “knucklehead,” and be done with it. Shōbei could have alleviated the tension by saying, “Although I am grateful for your critique, I would prefer it be out of earshot of other men. With so many people present, I fear that your words may besmirch my honor. What’s more, if I must be subjected to your censure, may I submit that you are also not bereft of blame? We all stray from the path of reason when intoxicated, but I would be happy to receive your admonishments when sober. Now, let’s have another drink.” There would be no shame, and no need to become irate had he responded in this way. If Genzō persisted with his abuse, the situation could have been dealt with by suitable comebacks.

葉隱聞書

It’s a pity that people don’t exert themselves, blaming instead the depraved epoch in which they live, with the world nearing its end. It has nothing to do with the world, as much as the people themselves.

Enjoy your weekend!

good luck ↑↓ be nimble

One last excerpt, for the lols. Thanks SB, for sending me the book!

11-74. Matsudaira Izu-no-Kami said to Mizuno Kenmotsu [Tadayoshi]:¹ “You are an expedient man, but it is a pity you are so short.” Kenmotsu retorted: “Indeed it is true. Some things turn out contrary to one’s liking. I would be a little taller if I was to chop your head off and attach it to my feet, but I am unable to have it my way.”

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